

F. Sold Separately for Cash. In 1929 Fourth National Investors Corporation sold to its parent company 750,000 option warrants for \$3,000,000. In 1936 Phillips Packing Company sold warrants to bankers for cash.

WARRANTS AS A VEHICLE OF SPECULATION

In a broad sense, option warrants possess the same general characteristics as low-priced common stocks, the theory of which was discussed in Chap. 41. Warrants are in name and in form, as low-priced stocks frequently are in essence, a long-term call upon the future of a business.⁴ It is true also that the relationship between a warrant and its common stock is roughly similar to that between a common stock and a speculative senior security of the same company.

The Qualitative Element. As with all other speculative commitments, the attractiveness of a given warrant depends upon two entirely dissimilar factors: the qualitative element, being the nature of the enterprise, in relation particularly to its supposed chance of great improvement; and the quantitative element, being the terms on which the warrant is offered, including its price and the price of the common stock it calls for. Security analysis cannot be counted upon to reveal those businesses which are most likely to forge ahead in the years to come. There is not much we can say, therefore, about the qualitative element in selecting warrants for speculation. Since ordinarily a warrant can attain tangible value only through an increase in earnings, emphasis must be laid upon the prospects of change rather than upon stability. Public-utility warrants, for example, became extremely popular in 1928–1929 not because of the superior stability of utility enterprises but because the market was convinced that their earnings would continue to expand indefinitely.

As far as the arithmetical chance of a large price advance is concerned, we have already shown that this is most likely to be found in the common stock of speculatively capitalized enterprises (e.g., A. E. Staley Company and American Water Works and Electric, discussed in Chap. 40, which can be found in sixth edition text). Hence warrants to buy common stocks of this kind may also be said to have a special speculative advan-

⁴ In a few cases warrants are issued to run for a comparatively short time. In such a case they are more a call on the future of the stock market than of the business. *Example:* The warrants of Phillips Packing Company referred to above ran for only two years.